

Mortgage Interest Credit
(For Holders of Qualified Mortgage Credit Certificates Issued by
State or Local Governmental Units or Agencies)Attach to Form 1040, 1040-SR, or 1040-NR.
Go to www.irs.gov/Form8396 for the latest information.**2025**Attachment
Sequence No. **138**

Name(s) shown on your tax return

Your social security number

Enter the address of your main home to which the qualified mortgage certificate relates if it is different from the address shown on your tax return.

Name of issuer of Mortgage Credit Certificate

Mortgage Credit Certificate number

Issue date

Before you begin Part I, figure the amounts of any of the following credits you are claiming: credit for the elderly or the disabled, alternative motor vehicle credit, and qualified plug-in electric drive motor vehicle credit.**Part I Current-Year Mortgage Interest Credit**

1	Interest paid on the certified indebtedness amount. If someone else (other than your spouse if filing jointly) also held an interest in the home, enter only your share of the interest paid	1	
2	Enter the certificate credit rate shown on your Mortgage Credit Certificate . Do not enter the interest rate on your home mortgage	2	%
3	If line 2 is 20% or less, multiply line 1 by line 2. If line 2 is more than 20%, or you refinanced your mortgage and received a reissued certificate, see the instructions for the amount to enter	3	
You must reduce your deduction for home mortgage interest on Schedule A (Form 1040) by the amount on line 3.			
4	Enter any 2022 credit carryforward from line 16 of your 2024 Form 8396	4	
5	Enter any 2023 credit carryforward from line 14 of your 2024 Form 8396	5	
6	Enter any 2024 credit carryforward from line 17 of your 2024 Form 8396	6	
7	Add lines 3 through 6	7	
8	Limitation based on tax liability. Enter the amount from line 3 of the Credit Limit Worksheet in the instructions	8	
9	Current-year mortgage interest credit. Enter the smaller of line 7 or line 8. Also include this amount on Schedule 3 (Form 1040), line 6g	9	

Part II Mortgage Interest Credit Carryforward to 2026 (Complete **only** if line 9 is less than line 7.)

10	Add lines 3 and 4	10	
11	Enter the amount from line 7.	11	
12	Enter the larger of line 9 or line 10.	12	
13	Subtract line 12 from line 11.	13	
14	2024 credit carryforward to 2026. Enter the smaller of line 6 or line 13	14	
15	Subtract line 14 from line 13.	15	
16	2023 credit carryforward to 2026. Enter the smaller of line 5 or line 15	16	
17	2025 credit carryforward to 2026. Subtract line 9 from line 3. If zero or less, enter -0-	17	

General Instructions

Future Developments

For the latest information about developments related to Form 8396 and its instructions, such as legislation enacted after they were published, go to www.irs.gov/Form8396.

Purpose of Form

Use Form 8396 to figure the mortgage interest credit for 2025 and any credit carryforward to 2026.

Who Can Claim the Credit

You can claim the credit only if you were issued a qualified Mortgage Credit Certificate (MCC) by a state or local governmental unit or agency under a qualified mortgage credit certificate program.



Homestead Staff Exemption Certificates, and certificates issued by the Federal Housing Administration, Department of Veterans Affairs, and Farmers Home Administration, do not qualify for the credit.

The home to which the certificate relates must be your main home and must also be located in the jurisdiction of the governmental unit that issued the certificate.

If the interest on the mortgage was paid to a related person, you cannot claim the credit.

Refinanced Mortgage

You can refinance your mortgage without losing this credit if your existing MCC is reissued and the reissued certificate meets all of the following conditions.

- It must be issued to the holder(s) of the existing certificate for the same property.
- It must entirely replace the existing certificate. The holder cannot retain any portion of the outstanding balance of the existing certificate.
- The certified indebtedness on the reissued certificate cannot exceed the outstanding balance shown on the existing certificate.
- The credit rate of the reissued certificate cannot exceed the credit rate of the existing certificate.
- The reissued certificate cannot result in a larger amount on line 3 than would have otherwise been allowable under the existing certificate for any tax year.

For each tax year, you must determine the amount of credit that you would have been allowed using your original MCC. To do this, multiply the interest that was scheduled to be paid on your original mortgage by the certificate rate on your original MCC. The result may limit your line 3 credit allowed when you have a reissued MCC, even if your new loan has a lower interest rate.

If the certificate credit rates are different in the year you refinanced, attach a statement showing separate calculations for lines 1, 2, and 3 for the applicable parts of the year when the original MCC and the reissued MCC were in effect. Combine the amounts from both calculations for line 3. Enter that total on line 3 of the form and enter "see attached" on the dotted line next to line 2.

For more details, see Regulations section 1.25-3(p).

Recapture of Credit

If you buy a home using an MCC and sell it within 9 years, you may have to recapture (repay) some of the credit. See Pub. 523, Selling Your Home; and Form 8828, Recapture of Federal Mortgage Subsidy.

Additional Information

See Pub. 530, Tax Information for Homeowners, for more details.

Specific Instructions

Part I—Current-Year Mortgage Interest Credit

Line 1

Enter the interest you paid during the year on the loan amount (certified indebtedness amount) shown on your MCC. In most cases, this will be the amount in box 1 on Form 1098, Mortgage Interest Statement, or on a similar statement you received from your mortgage holder. If the loan amount on your MCC is less than your total mortgage loan, you must allocate the interest to determine the part that relates to the loan covered by the MCC. See Pub. 530 for an example of how to allocate the interest.

Line 2

The certificate credit rate cannot be less than 10% or more than 50%.

Line 3

If you refinanced, see *Refinanced Mortgage* on this page.

If the certificate credit rate shown on line 2 is more than 20%, multiply line 1 by line 2, but do not enter more than \$2,000 on line 3. If you and someone else (other than your spouse if filing jointly) held an interest in the home, the \$2,000 limit must be allocated to each owner in proportion to the interest held. See *Dividing the Credit* in Pub. 530 for an example of how to make the allocation.

Reduction of home mortgage interest deduction on Schedule A (Form 1040). If you itemize your deductions on Schedule A, you must reduce the amount of home mortgage interest you would otherwise deduct on Schedule A by the amount on Form 8396, line 3, and report the reduced amount on Schedule A. You must do this even if part of the amount on line 3 is carried forward to 2026.

Line 8—Credit Limit Worksheet

Keep for Your Records

1. Enter the amount from Form 1040, 1040-SR, or 1040-NR, line 18 **1.** _____
2. **Form 1040 or 1040-SR filers:** Enter the total of all amounts (if any) from Form 1040 or 1040-SR, line 19;* Schedule 3 (Form 1040), lines 1 through 4, 6d, 6f, 6l, and 6m; and Form 5695, line 32.**
Form 1040-NR filers: Enter the total of all amounts (if any) from Form 1040-NR, line 19;* Schedule 3 (Form 1040), lines 1, 2, 4, 6f, 6l, and 6m; and Form 5695, line 32** **2.** _____
3. Subtract line 2 from line 1. Enter this amount on Form 8396, line 8. If zero or less, enter -0- here and on Form 8396, lines 8 and 9, and go to Part II of Form 8396 **3.** _____

* If you are directed to complete Form 8396 by Credit Limit Worksheet B in the Instructions for Schedule 8812 (Form 1040), include the amount from line 14 of Credit Limit Worksheet B instead of the amount from Form 1040, 1040-SR, or 1040-NR, line 19.

** If applicable.

Part II—Mortgage Interest Credit Carryforward to 2026

If the amount on line 9 is less than the amount on line 7, you may have an unused credit to carry forward to the next 3 tax years or until used, whichever comes first. The current-year credit is used first and then the prior-year credits, beginning with the earliest prior year.

If you have any unused credit to carry forward to 2026, keep a copy of this form to figure your credit for 2026.



If you are subject to the \$2,000 credit limit because your certificate credit rate is more than 20%, no amount over the \$2,000 limit (or your prorated share of the \$2,000 if you must allocate the credit) may be carried forward for use in a later year.